

32 Valuation of liabilities

3 primary questions | Oldest to newest

2026 objectives: 4.5.2-4.5.5

4 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

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CA1-P2 September 2006 Q7	27 marks
CA1-P2 April 2012 Q3	14 marks
CA1-P2 April 2014 Q2	10 marks

CA1-P2 | September 2006 | Q7

Current topic | 27 marks total | Original PDF p4

Related: Ch 18, Ch 2.

- 7** Company A is a small life insurance company. It has never written with profits business, but writes a wide range of without profits non-linked and unit-linked business. New business volumes have been declining steadily over the last ten years. Company A's chief executive will be retiring in the next twelve months. Company A is a wholly owned subsidiary of Company B.

Company B is a large general insurance company with a substantial share in the market for domestic residential property insurance. Both Company A and Company B have concentrated their marketing initiatives towards members of the legal professions in the country concerned.

Company C is a medium-sized mutual life insurance company, writing all classes of with and without profits business, and operating across the whole market.

In the territory in which all three companies operate, the regulatory capital requirement for insurance companies is based on the risk profile of the company's business, subject to a minimum monetary amount.

Company B is seeking to dispose of Company A, and has asked interested purchasers to make an indicative offer prior to entering into a due diligence and detailed assessment period.

- (i) Outline reasons why Company B might be seeking to dispose of Company A. [5]
 - (ii) Discuss the financial and operational issues that Company C would have to consider before deciding whether to make an indicative offer. [10]
 - (iii) Describe the calculations that Company C would undertake in order to quantify its offer. You should describe how to deal with the limited amount of data available at this indicative offer stage. [12]
- [Total 27]

CA1-P2 | April 2012 | Q3

Current topic | 14 marks total | Original PDF p2

Related: Ch 36, Ch 15.

- 3** A solvency reserving basis requires that assets are valued at market value. Liabilities are discounted at risk free rates based on government bonds, with a best estimate basis used for other assumptions.

- (i) Discuss how the adoption of this basis may affect the risks faced by an insurance company that writes single premium annuity business. [6]

A government has recently introduced new capital requirements for life insurance companies with the aim of increasing protection for policyholders.

It has been suggested that introducing similar requirements in respect of the funding levels of defined benefit pension schemes would give extra protection for schemes and scheme members.

- (ii) Discuss the merits and potential difficulties of adopting this suggestion. [8]
[Total 14]

CA1-P2 | April 2014 | Q2

Current topic | 10 marks total | Original PDF p2

Related: Ch 31.

- 2**
- (i) Outline why a defined benefit pension scheme would want to calculate its provisions. [4]
 - (ii) Describe three different methods that could be used to allow for the risks in the cash flows for the pension scheme. [6]
- [Total 10]